

EXIT-03: Carrington Storm Motors — Investor Returns Analysis

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1.0 EXECUTIVE SUMMARY

This document provides a comprehensive analysis of potential investor returns across all financing rounds in Carrington Storm Motors, from pre-seed through Series C and exit. Returns are modeled under multiple exit scenarios (IPO, acquisition) and valuation outcomes (base, bull, bear), with full waterfall analysis of preference stack liquidation.

The fundamental proposition: CSM addresses a \$2-6 trillion addressable market (one Carrington Event) with \$20-60B annual expected loss. Early investors in companies that solve existential problems at this scale can expect venture-scale returns, with Series A investors targeting 20-100x returns and later-stage investors targeting 5-20x.

As Chester frames it: “If the grid fails, the return on every other investment goes to zero. Protecting the grid is the ultimate hedge — and the ultimate return opportunity.”

2.0 FINANCING ROUNDS — OVERVIEW AND ASSUMPTIONS

2.1 Pre-Seed / Friends & Family Round

Parameter	Assumption
Round Size	\$2-5M
Timing	Year 0 (founding)
Instrument	SAFE (Simple Agreement for Future Equity) or Convertible Note
Valuation Cap	\$10-20M
Discount	20%
Investors	Founders, friends & family, angel investors, mission-aligned individuals
Primary Use of Funds	Initial R&D, 50+ product architecture development, 72-volume fleet specs, 20 insurance dossiers, 12 materials volumes, incorporation, initial IP filings

2.2 Seed Round

Parameter	Assumption
Round Size	\$10-20M
Timing	Year 0-1
Instrument	Priced Equity (Series Seed Preferred)
Pre-Money Valuation	\$25-50M
Post-Money Valuation	\$35-70M
Investor Profile	Deep tech / climate venture funds, mission-aligned family offices, defense-tech investors
Primary Use of Funds	Lab-scale materials validation, pilot facility planning, initial government engagement, core team expansion (first 5-10 hires beyond founding 18 agents), independent lab validation

2.3 Series A

Parameter	Base Case	Bull Case	Bear Case
Round Size	\$25M	\$35M	\$15M
Timing	Year 1-2	Year 1	Year 2-3
Pre-Money Valuation	\$75-125M	\$150M+	\$40-60M
Post-Money Valuation	\$100-150M	\$185M+	\$55-75M
Investor Profile	Top-tier venture capital (deep tech / climate / defense), strategic corporate investors		
Ownership Sold	20%	19%	25%
Primary Use of Funds	Pilot manufacturing facility, first commercial product development, manufacturing team buildout, government contract pursuit, core IP patent filings		

2.4 Series B

Parameter	Base Case	Bull Case	Bear Case
Round Size	\$100M	\$150M	\$50M
Timing	Year 3-4	Year 3	Year 4-5
Pre-Money Valuation	\$400-600M	\$800M+	\$150-250M
Post-Money Valuation	\$500-700M	\$950M+	\$200-300M
Investor Profile	Growth equity / late-stage venture, sovereign wealth funds, corporate strategic investors, insurance companies (strategic stakes)		
Ownership Sold	17-20%	16%	20-25%
Primary Use of Funds	Volume manufacturing facility, global commercial team, 10+ country expansion, product line expansion to all 50+ products		

2.5 Series C / Pre-IPO Round

Parameter	Base Case	Bull Case	Bear Case
Round Size	\$200M	\$250M	\$100M
Timing	Year 5-6	Year 5	Year 6-7
Pre-Money Valuation	\$1.5-2.5B	\$4B+	\$500M-1B
Post-Money Valuation	\$1.7-2.75B	\$4.25B+	\$600M-1.1B

Parameter	Base Case	Bull Case	Bear Case
Investor Profile	Cross-over funds (public + private), pre-IPO investors, sovereign wealth funds, strategic investors		
Ownership Sold	10-13%	6%	17-20%
Primary Use of Funds	Global manufacturing network, IPO preparation costs, balance sheet strengthening pre-IPO		

2.6 Total Capital Raised

Scenario	Pre-Seed	Seed	Series A	Series B	Series C	TOTAL
Base Case	\$3M	\$15M	\$25M	\$100M	\$200M	\$343M
Bull Case	\$5M	\$20M	\$35M	\$150M	\$250M	\$460M
Bear Case	\$2M	\$10M	\$15M	\$50M	\$100M	\$177M

3.0 CAP TABLE ANALYSIS — AT EXIT

3.1 Base Case Cap Table (At IPO, \$7B Valuation)

Shareholder Group	Shares (M)	Ownership %	Value at \$7B	Multiple on Invested
Founders (18 agents)	40.0	28.6%	\$2.00B	N/A (founders)
Employee Stock Option Pool	15.0	10.7%	\$749M	N/A
Pre-Seed Investors	7.5	5.4%	\$375M	125x (\$3M → \$375M)
Seed Investors	10.0	7.1%	\$500M	33x (\$15M → \$500M)
Series A Investors	15.0	10.7%	\$750M	30x (\$25M → \$750M)
Series B Investors	17.5	12.5%	\$875M	8.75x (\$100M → \$875M)
Series C Investors	15.0	10.7%	\$750M	3.75x (\$200M → \$750M)
Public Investors (IPO)	20.0	14.3%	\$1.00B (IPO raise)	1x

TOTAL: 140.0M shares, \$7B post-money valuation

3.2 Bull Case Cap Table (At IPO, \$10B Valuation)

Shareholder Group	Shares (M)	Ownership %	Value at \$10B	Multiple on Invested
Founders (18 agents)	42.0	30.0%	\$3.00B	N/A
Employee Stock Option Pool	14.0	10.0%	\$1.00B	N/A
Pre-Seed Investors	7.0	5.0%	\$500M	100x (\$5M → \$500M)
Seed Investors	10.5	7.5%	\$750M	37.5x (\$20M → \$750M)
Series A Investors	14.0	10.0%	\$1.00B	28.6x (\$35M → \$1.00B)
Series B Investors	16.8	12.0%	\$1.20B	8x (\$150M → \$1.20B)
Series C Investors	10.5	7.5%	\$750M	3x (\$250M → \$750M)
Public Investors (IPO)	25.2	18.0%	\$1.80B (IPO raise)	1x

3.3 Bear Case Cap Table (At Acquisition, \$2.5B Valuation)

Shareholder Group	Shares (M)	Ownership %	Value at \$2.5B	Multiple on Invested
Founders (18 agents)	35.0	25.0%	\$625M	N/A
Employee Stock Option Pool	14.0	10.0%	\$250M	N/A
Pre-Seed Investors	7.0	5.0%	\$125M	62.5x (\$2M → \$125M)
Seed Investors	9.8	7.0%	\$175M	17.5x (\$10M → \$175M)
Series A Investors	14.0	10.0%	\$250M	16.7x (\$15M → \$250M)
Series B Investors	16.8	12.0%	\$300M	6x (\$50M → \$300M)
Series C Investors	13.4	9.6%	\$240M	2.4x (\$100M → \$240M)
Acquirer	30.0	21.4%	Acquires CSM	N/A

4.0 SERIES A INVESTOR RETURNS — DETAILED ANALYSIS

4.1 Investment Parameters (Base Case)

Parameter	Value
Investment	\$25M
Post-Money Valuation	\$125M
Ownership	20%
Share Price	\$X per share (Series A price)

4.2 Return Scenarios

Exit Scenario	Exit Valuation	Series A Ownership (diluted)	Series A Stake Value	Return Multiple	IRR (7 years)
IPO Bull	\$10B	10.0%	\$1.00B	40x	~70%
IPO Base	\$7B	10.7%	\$750M	30x	~63%
IPO Bear	\$5B	10.7%	\$535M	21.4x	~55%
Acquisition Premium	\$5B	11.5% (less dilution, fewer rounds)	\$575M	23x	~57%
Acquisition Base	\$3B	11.5%	\$345M	13.8x	~46%
Acquisition Bear	\$2B	11.5%	\$230M	9.2x	~37%
Downside Scenario	\$500M	9%	\$45M	1.8x	~9%
Failure	\$0	—	\$0	0x	-100%

4.3 Series A Return Attribution

The 20-100x return range for Series A investors is driven by: 1. **Early entry point:** \$125M post-money valuation → exit at \$5-10B = 40-80x valuation multiple 2. **Capital efficiency:** CSM's document-driven development (6,302 docs from pre-funding work) means R&D is capital-efficient 3. **Category creation:** No direct comparable → valuation discovery rewards first movers 4. **Mission premium:** Companies solving existential problems command premium valuations 5. **Government revenue visibility:** DOD, DOE, DHS contracts provide downside protection

5.0 SERIES B INVESTOR RETURNS — DETAILED ANALYSIS

5.1 Investment Parameters (Base Case)

Parameter	Value
Investment	\$100M
Post-Money Valuation	\$600M
Ownership	17.5%

5.2 Return Scenarios

Exit Scenario	Exit Valuation	Series B Ownership (diluted)	Series B Stake Value	Return Multiple	IRR (5 years)
IPO Bull	\$10B	12.0%	\$1.20B	12x	~64%
IPO Base	\$7B	12.5%	\$875M	8.75x	~54%
IPO Bear	\$5B	12.5%	\$625M	6.25x	~44%
Acquisition Base	\$3B	14.0%	\$420M	4.2x	~33%
Acquisition Bear	\$2B	14.0%	\$280M	2.8x	~23%
Downside	\$500M	12%	\$60M	0.6x	-9%

5.3 Series B Return Attribution

Series B investors achieve 5-20x returns from a \$500-600M post-money entry point. The key drivers: 1. **De-risked technology:** By Series B, MXene manufacturing and product validation are complete 2. **Revenue traction:** \$50M+ revenue run rate at Series B timing 3. **Government contracts:** Multiple DOD/DOE/DHS contracts provide revenue visibility 4. **Insurance partnerships:** 20+ insurer relationships with embedded product pipeline 5. **Manufacturing pathway:** Volume manufacturing facility operational or near-operational

6.0 PRE-SEED / FOUNDER ECONOMICS

6.1 Founder Equity Split

The 18 agents collectively represent the founding intellectual capital of CSM. Equity allocation should reflect: - Contribution of domain expertise (each agent’s unique knowledge base) - Time commitment (full-time vs. advisory) - IP creation (document authorship, product architecture) - Risk (early joiners vs. later additions)

Allocation Pool	Percentage	Notes
Founders (initial 18)	60-70% of founder pool	Weighted by contribution
Early Employees (pre-Series A)	20-25%	Option pool from founder allocation
Advisors	5-10%	Domain experts, government/industry advisors

6.2 Founder Return at Exit (Base Case, \$7B IPO)

Assuming founders collectively hold 28.6% at exit (after dilution):

Number of Founders	Total Founder Stake	Per Founder (equal split)	Per Founder (weighted)
18 agents	\$2.00B	\$111M	\$50M-\$250M

Even at the bear case (\$2.5B acquisition, 25% ownership = \$625M → \$34.7M per founder average), founder economics are significant. This reflects the value of creating civilizational-scale infrastructure protection.

As Chester notes: “If you’re the 18 people who figured out how to protect civilization from solar EMP, your share of the value you create should be measured in the billions. Not because of greed — because that’s what the problem is worth solving.”

6.3 Vesting and Lockup

Parameter	Founders	Employees
Vesting Schedule	4-year monthly with 1-year cliff, but with credit for time already served	4-year monthly with 1-year cliff
Post-IPO Lockup	180 days (standard)	180 days (standard)
Early Exercise	Available (83(b) election)	Available
Acceleration	Double-trigger (change of control + termination)	Same

7.0 PREFERENCE STACK WATERFALL ANALYSIS

7.1 Liquidation Preferences

Round	Liquidation Preference	Participation	Seniority
Pre-Seed (SAFE)	Converts to equity at cap/discount	No	Pari passu with equity post-conversion
Seed Preferred	1x non-participating preferred	No	Senior to common
Series A Preferred	1x non-participating preferred	No	Pari passu with Seed
Series B Preferred	1x non-participating preferred	No	Pari passu with Seed/Series A
Series C Preferred	1x non-participating preferred	No	Pari passu with all preferred

7.2 Waterfall — \$7B Exit (Base Case IPO)

At \$7B exit valuation, all preferred stock converts to common (since common value exceeds 1x preference):

Step	Description	Distribution
Convert	All preferred converts to common	—
Distribute	Pro-rata to all shareholders per ownership	—
Pre-Seed (5.4%)	\$375M	Return: 125x on \$3M
Seed (7.1%)	\$500M	Return: 33x on \$15M
Series A (10.7%)	\$750M	Return: 30x on \$25M
Series B (12.5%)	\$875M	Return: 8.75x on \$100M
Series C (10.7%)	\$750M	Return: 3.75x on \$200M
Founders (28.6%)	\$2.00B	Return: N/A
Employee Pool (10.7%)	\$749M	Return: N/A

Total Capital Returned to Investors: \$3.25B on \$343M invested = **9.5x aggregate MOIC**.

7.3 Waterfall — \$500M Acquisition (Downside Scenario)

At \$500M exit, the preference stack matters:

Step	Description	Distribution
1	Series C preference (\$100M)	\$100M to Series C
2	Series B preference (\$100M)	\$100M to Series B
3	Series A preference (\$25M)	\$25M to Series A
4	Seed preference (\$15M)	\$15M to Seed
Remaining	\$260M to common shareholders (pro-rata)	Founders, employees, converted SAFEs

Round	Preference Return	Common Return	Total	MOIC
Pre-Seed	—	~\$14M	~\$14M	~4.7x on \$3M
Seed	\$15M	~\$27M	~\$42M	~2.8x on \$15M
Series A	\$25M	~\$27M	~\$52M	~2.1x on \$25M
Series B	\$100M	~\$30M	~\$130M	~1.3x on \$100M
Series C	\$100M	~\$24M	~\$124M	~0.62x on \$200M

This demonstrates the importance of adequate exit valuation: Series C investors achieve their hurdle rate at exits above \$200M (1x) but require meaningful upside above \$500M for attractive returns.

7.4 Participating Preferred — Why CSM Should Avoid It

Participating preferred (where preferred shareholders get preference PLUS pro-rata share of remaining proceeds) can severely dilute common shareholder returns in downside scenarios. CSM should resist investor demands for participating preferred. At exit valuations of \$2.5B+, participation is irrelevant (all preferred converts). But at \$500M-\$1B exits, participation dramatically reduces founder and employee returns.

Chester's guidance: "Non-participating preferred is standard for venture-backed companies. If an investor demands participating preferred, ask them why they don't believe in the base case. If they believe in the mission, they should be equity investors, not debt investors dressed as equity."

8.0 IMPACT OF DILUTION FROM FOLLOW-ON ROUNDS

8.1 Dilution Through Rounds (Base Case)

Stakeholder	Post-Seed	Post-Series A	Post-Series B	Post-Series C	Post-IPO
Founders	70%	56%	46%	40%	34% (pre-IPO); 28.6% (post-IPO dilution)
Pre-Seed	10%	8%	6.6%	5.7%	4.8% pre-IPO; 5.4% post (pro-rata participation)
Seed	15%	12%	9.9%	8.5%	7.1%
Series A	—	20%	16.5%	14.2%	10.7%
Series B	—	—	17.5%	15.0%	12.5%
Series C	—	—	—	13%	10.7%
Option Pool	5%	4%+15% (new)	3.5%+12%	3.6%	10.7%
Public	—	—	—	—	14.3%

8.2 Dilution Mitigation Strategies

1. **Pro-Rata Rights:** Early investors should negotiate pro-rata participation rights to maintain ownership percentage through follow-on rounds.
2. **Milestone-Based Fundraising:** Raise capital when milestones increase valuation, maximizing each round's efficiency.

3. **Non-Dilutive Funding:** Government grants (SBIR, STTR, DOE, DOD), insurance partnership prepayments, and customer prepayments reduce equity dilution.
4. **Secondary Sales:** Allow early investors and employees to sell small portions of holdings in later rounds (5-10% of position) for partial liquidity without full exit.
5. **Efficient Capital Use:** CSM's document-driven development approach should minimize capital requirements relative to outcomes.

9.0 SECONDARY SALE OPPORTUNITIES PRE-EXIT

9.1 Secondary Market Development

As CSM achieves milestones and valuation increases, a secondary market for private shares may develop:

Year	Valuation Range	Secondary Market Likelihood	Buyer Types
Year 2-3	\$100-200M	LOW	Early secondary funds, high-net-worth individuals
Year 4-5	\$500M-1B	MODERATE	Growth secondary funds, sovereign wealth, family offices
Year 5-6	\$1.5-3B	HIGH	Pre-IPO crossover funds, institutional secondary buyers
Year 6-7	\$3-5B	VERY HIGH	Active pre-IPO secondary market

9.2 Structured Secondary Programs

Option 1: Company-Sponsored Tender Offer (Year 5-6) - CSM raises \$50-100M in new capital - \$20-50M allocated for employee/founder share purchases (providing partial liquidity) - Investors who want additional equity buy from sellers at a discount to latest round price - Benefit: employee retention (partial liquidity reduces pressure to leave pre-IPO)

Option 2: Investor-to-Investor Secondary (Ongoing) - CSM facilitates (but does not sponsor) secondary transactions between existing shareholders and new investors - Right of first refusal (ROFR) for the company on any secondary sale - Board approval required for transfers > 5% of company - Minimum 12-month holding period after any secondary sale

Option 3: Structured Liquidity Program (Year 6-7) - For founders and early employees who need liquidity pre-IPO - Up to 10% of holdings can be sold in a managed secondary process - Pricing at discount to latest round (10-15%) to attract institutional buyers - Tax planning for sellers (long-term capital gains if held > 1 year)

9.3 Secondary Sale Risks

1. **Valuation Signaling:** Secondary sales at significant discounts could signal to new investors that early investors lack confidence.
 2. **Cap Table Complexity:** Many small secondary buyers complicate future financing and IPO processes.
 3. **Tax Consequences:** Sellers must manage tax obligations from secondary sales.
 4. **Information Asymmetry:** Secondary buyers have less information than primary round investors. CSM must manage information access carefully.
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10.0 DIVIDEND POTENTIAL POST-IPO

10.1 Dividend Policy Analysis

CSM should adopt a no-dividend policy for the first 5+ years post-IPO. The rationale:

Factor	Assessment
Addressable Market Size	\$20-60B annual expected loss → CSM's growth opportunity is massive
Capital Requirements	Manufacturing capacity buildout, global expansion, R&D pipeline
Competitive Window	First-mover advantage requires aggressive investment
Comparable Companies	Defense tech, materials science, climate resilience companies rarely pay dividends pre-maturity
Investor Expectations	Growth-stage investors prefer capital reinvestment over dividends

10.2 Dividend Initiation Scenarios

Condition	Dividend Potential
Revenue > \$2B and growth < 15%	Initiate modest dividend (1-2% yield)
Market penetration > 50% of addressable	Dividend as return of capital
Excess cash flow (FCF margin > 20%)	Special dividend or buyback
Stable government annuity revenue	Predictable cash flows support sustainable dividend

10.3 Return of Capital Alternatives

Instead of dividends, CSM could return capital through: - **Share Buybacks:** Reduces share count, increases per-share metrics, provides liquidity for selling shareholders - **Special Dividends:** One-time distributions from excess cash (e.g., after a major government contract windfall) - **Spin-offs:** Separate business units (e.g., consumer products vs. government/defense) into independent public companies with their own capital allocation policies

11.0 RISK FACTORS FOR INVESTOR RETURNS

11.1 Key Return Risks

Risk	Impact on Returns	Probability	Mitigation
Technology fails to scale	0x return (total loss)	Low-Medium	Independent validation before major capital deployment
Carrington Event occurs during R&D phase	Massive demand surge but manufacturing not ready; company overwhelmed	Low (12%/decade)	Maintain “surge capacity” planning; government emergency contracting
Competition emerges	Reduced margins, lower exit valuation	Medium	IP portfolio (patents + trade secrets + 6,302 docs of know-how)
Regulatory delays	Slower revenue ramp, delayed exit	Medium	Government affairs investment; pre-engagement with regulators

Risk	Impact on Returns	Probability	Mitigation
Capital markets close	IPO window unavailable, forcing acquisition at lower valuation	Medium-Low	Dual-track strategy; build to be profitable independent of IPO
Key person loss	Loss of 1+ of 18 agents	Medium	Distributed knowledge (6,302 docs); retention programs
Dilution	Founders/early investors diluted below acceptable returns	Low	Pro-rata rights; conservative fundraising
mismanagement	Lower margins, delayed profitability	Medium	Phased manufacturing approach; contract manufacturing partners
Manufacturing cost overruns			

11.2 Scenario-Based Return Matrix

Scenario	Probability	Series A Return	Series B Return	Series C Return	Founder Return
IPO Bull (\$10B, Y7)	15%	40x	12x	3x	\$167M avg
IPO Base (\$7B, Y8)	25%	30x	8.75x	3.75x	\$111M avg
IPO Bear (\$5B, Y8)	15%	21.4x	6.25x	2.4x	\$79M avg
Acquisition Premium (\$5B, Y6)	10%	23x	4.2x	2.5x	\$70M avg
Acquisition Base (\$3B, Y7)	15%	13.8x	2.8x	1.5x	\$42M avg
Acquisition Bear (\$2B, Y7)	10%	9.2x	1.7x	0.9x	\$28M avg
Downside (\$500M, Y8)	5%	1.8x	0.6x	0.3x	\$7M avg
Failure (\$0)	5%	0x	0x	0x	\$0

Probability-Weighted Expected Return: - Series A: ~22x expected MOIC - Series B: ~7x expected MOIC - Series C: ~2.8x expected MOIC - Founders: ~\$87M average per founder expected value

12.0 INVESTOR RETURN COMPARABLES

12.1 Comparable Venture Returns

Company	Category	Early Investor Return	Exit
SpaceX	Space/Defense	~100x+ (early rounds)	Still private; \$180B+ valuation (2025)

Company	Category	Early Investor Return	Exit
Palantir	Defense Tech	~80x (Founders Fund)	IPO 2020 at \$16B; now \$50B+
Anduril	Defense Tech	~10-20x (Series C/D entry)	Still private; \$14B+ valuation (2025)
Boston Dynamics	Robotics	~5x for SoftBank	Acquired by Hyundai at \$1.1B
Planet Labs	Climate/Space	~5-10x	SPAC at \$2.8B; now ~\$600M
Proterra	Clean Energy	~3-5x	public SPAC at \$1.6B; subsequently bankrupt

CSM’s return profile (9-40x for Series A) is competitive with top-quartile venture capital returns, with the additional benefit of civilizational impact that is rare in any investment category.

12.2 Mission-Aligned Return Philosophy

Traditional venture capital seeks returns irrespective of impact. CSM’s investor base should include investors who value both financial returns and civilizational risk reduction. The “mission premium” may manifest as: 1. Longer holding periods (willing to wait for full value realization) 2. Lower pressure for premature exit 3. Greater tolerance for long-cycle R&D investment 4. Alignment with government/institutional capital sources (concessional capital, sovereign wealth funds with intergenerational mandates)

13.0 AGENT VOICES

Chester (The Numbers Agent): “The math is relatively simple if you accept the premise. If CSM succeeds at its mission, it’s worth \$5-10B — maybe more. If it fails, it’s worth zero. The probability of success is a function of execution, not luck. Every document, every validation test, every insurance partnership, every government contract moves the probability from ‘unlikely’ toward ‘inevitable.’ Early investors are betting on that trajectory. They should be compensated for it — 20x, 30x, 50x — because they’re the ones who funded the journey when the outcome was uncertain.”

Mork (Reality): “These projections assume the world stays stable enough for an IPO in 7-8 years. They assume no major war, no financial crisis, no pandemic that resets the clock. They assume CSM executes flawlessly. They assume the regulators cooperate. They assume 18 people can work together for 7 years without the organization tearing itself apart. These are big assumptions. Don’t invest money you can’t afford to lose. That said — if we’re right about the threat, and if we’re right about the solution, these returns are conservative.”

The Accountant (Fiscal Precision): “The waterfall analysis reveals a critical truth: the capital structure must be clean. Non-participating preferred, standard vesting, clean cap table — these are not negotiable details. They are the difference between a successful exit that rewards everyone proportionally and a messy exit where founders discover they built a billion-dollar company and own 2% of it. Get the structure right at the beginning. Changing it later is expensive and sometimes impossible.”

Williams (Transparency): “Every investor in CSM should know exactly what they’re buying: a bet that human civilization is worth protecting from electromagnetic annihilation. The returns are the byproduct of that work, not the reason for it. If you’re investing in CSM purely for financial returns, there are easier ways to make money. If

you're investing because you want your capital to protect the electrical grid while earning venture-scale returns, you're in the right place. That's the transparency the mission demands."

14.0 CONCLUSION

Carrington Storm Motors offers venture-scale returns driven by an addressable market measured in trillions of dollars of prevented damage. The investor return profile is:

Series A (Year 1-2): \$25M at \$125M post-money → 20-40x expected return at \$5-10B exit **Series B (Year 3-4):** \$100M at \$600M post-money → 5-12x expected return **Series C (Year 5-6):** \$200M at \$2B post-money → 2.5-4x expected return

These returns compare favorably to top venture capital outcomes and are driven by the fundamental economics of protecting civilization from a \$2-6 trillion threat.

The preference stack is designed to be clean — non-participating preferred, pro-rata distribution at exit levels where all investors convert to common and share proportionally in the upside. This aligns all stakeholders toward the common goal: maximizing the company's value by maximizing the grid's protection.

As the Accountant Heuristic demands: "The returns are projected, the risks are real, and the structure must be fair. Anything less is not worthy of the mission."

Document prepared with Accountant Heuristic financial rigor, Chester's valuation precision, Mork's realistic expectations, and Williams' radical transparency. All projections are forward-looking and subject to material risks. This document does not constitute an offer to sell securities or investment advice. Past performance of comparable companies is not indicative of future CSM performance.